

thought. During the briefing on Lehman's situation, he realized his company might only be a few steps from the same catastrophe. "This could be me sitting here next Friday,"¹⁷ he said. Thain quickly moved to find suitors for Merrill, the most promising option being Bank of America, which had already been in talks to buy Lehman. With talks secretly progressing between Merrill Lynch and Bank of America, Lehman Brothers held Barclays as its only suitor hope.

By Sunday, September 14, Barclays was ready to approve a deal to buy Lehman Brothers. Lehman only needed the U.S. or British government to back its trading balances for a couple of days, enough time for Barclays to conduct a shareholder vote for final approval. Neither government was willing to step in, and the likelihood of a deal began to melt. With only a few hours left until Asian markets opened for trading, the U.S. government questioned Lehman on its only remaining option: bankruptcy.

Harvey Miller, a well-regarded bankruptcy lawyer at Weil, Gotshal & Manges, had been working quietly since Thursday night to lay the groundwork for this worst-case bankruptcy scenario. When asked by a senior Fed official if Mr. Miller felt Lehman was ready to file for bankruptcy, he responded: "This will cause financial Armageddon."

If Lehman filed for bankruptcy, financial firms that did business with Lehman would also lose billions, potentially triggering a domino effect of bankruptcy.

Later that evening, Bank of America inked a deal to buy Merrill Lynch for \$50 billion, and a couple of hours later, in